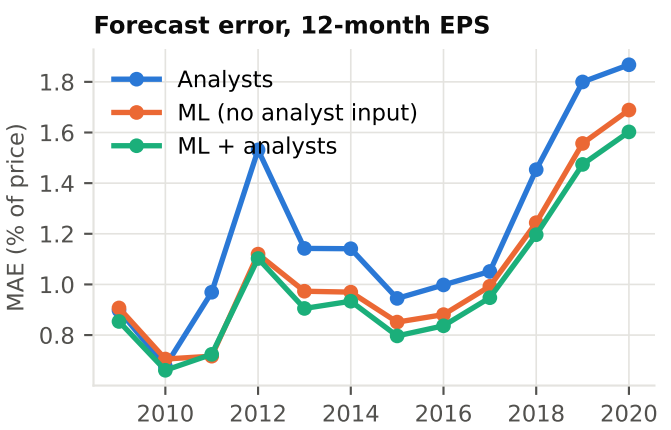
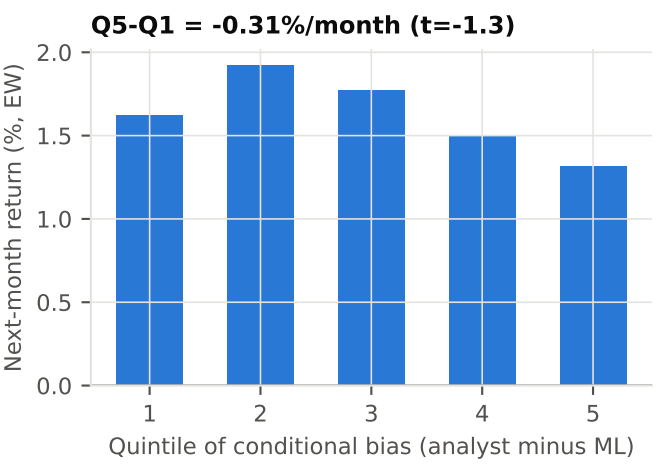

Forecast error, 12-month EPS
Analysts
ML (no analyst input)
ML + analysts
MAE (% of price)
1.8
1.6
1.4
1.2
1.0
0.8
2010
2012
2014
2016
2018
2020


Q5-Q1 = -0.31%/month (t=-1.3)
Next-month return (%, EW)
2.0
1.5
1.0
0.5
0.0
1
2
3
4
5
Quintile of conditional bias (analyst minus ML)